



CHOOSING YOUR NEW HOME

BY ALESSANDRA BAFFA,
ANDREW WESTER AND
CHINTAN SHAH

Housing Report for Sanjay & Sarah

Introduction

Sanjay and Sarah,

Congratulations to you both on taking these important next steps for your future! Selecting your next home can be a challenging experience but we are delighted to be able to provide deeper insights on the options that you have provided. Of course, each home presents its own variables that will impact potential value and costs. We are here to equip your decision-making with data and present you with the pros and cons of each of the houses you have decided to look at. This report aims to provide descriptive analysis for each of the three homes that you have chosen in your house hunt followed by a more in-depth analysis of the major factors that affect the annual cost of the home we recommend.



Analysis Model Overview

Assessing Each Housing Alternative

Our goal is to take into account your current financial constraints, overall goals, and related costs in order to present the expected annual cost for each house. This annual cost takes into account your expected mortgage payments, expected taxes, any potential upfront repairs & upkeep, any potential rental income, and interest rate. All of these costs contribute to your *Net Annual Cost (NAC)* for each property, and this is the primary value that we are looking at in our analysis. We have taken the time to simulate a large number of potential scenarios on each of the houses and their accompanying variables, and each of these simulations presents a different NAC, which then averages out over time to give us the expected value (EV) of each house.

After we have presented each of the three houses and their average NACs as simulated, we will then explain how the scenarios are populated and what factors most influence the net annual cost for each house. While at the end of the day, we will present you with our recommendations for what house is likely to be the best fit for you given the short and long term outlook on a property, our goal is to make it as easy as possible for you to choose. All of these inputs and expected Net Annual Costs will not only help you make the best decision for you and your family, but will also inform your planning for those costs on a short and long term basis.

Risk Tolerance Limits and Key Assumptions

Prior to diving into our baseline comparisons of each home, we wanted to level set with our risk tolerances and key assumptions presented within this report. Currently, you are looking at three homes on Astoria Street, Charlotte Street, and Barnard Street, that are listed at \$450,000, \$600,000, and \$750,000, respectively, which is a wide range of price options. You have also noted that you feel comfortable in your ability to afford the Astoria Street house whether or not Sarah continues to keep working, potentially were to lose her job, or choose to take time off. On the other hand, Barnard or Charlotte Street would be more financially burdensome and Sarah would likely need to continue working at least half-time following her maternity leave in order to afford either of these houses comfortably, and if you were unable to rent out a portion of either home it would greatly challenge your ability to afford it. Given these factors, we are assuming that you would prefer not to spend more than an approximate top-end price of \$35,000 annually, and ideally, less than that. If you are able to stretch your budget to around \$40,000 annually, the other options can become better investment choices.

Risk Simulation Modeling

Comparing Net Annual Cost (NAC) Across Three Home Options

As buying a home presents a substantial investment, we need to assess the average Net Annual Cost (NAC) for each of the three housing options to gain a general overview of how each option compares in terms of cost at a high level. Expected average NACs for each home are listed in the table below (for detailed data see Figure A1):

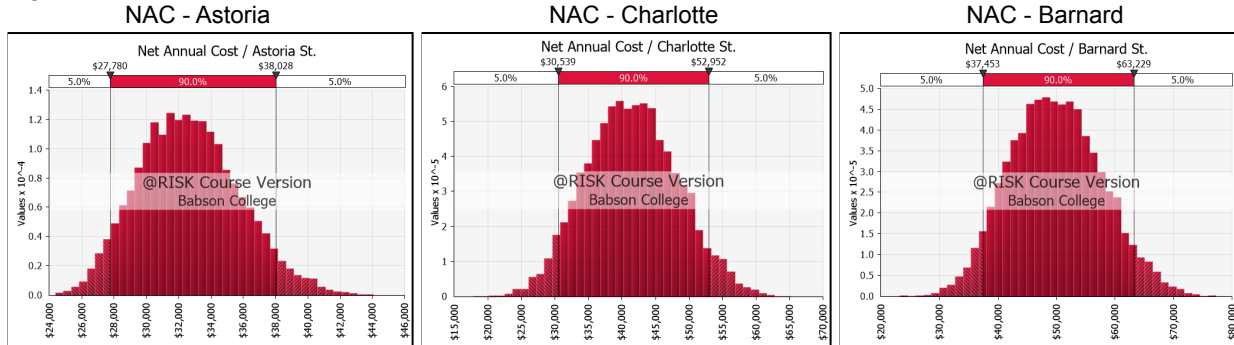
Home Options (Least to Most Expected NAC)			
	Astoria Street	Charlotte Street	Barnard Street
Net Annual Cost (NAC)	\$32,650	\$41,500	\$49,850

Comparing Housing Options

As outlined in the above, we can see that Astoria Street presents quite an attractive option with the lowest average Net Annual Cost. From examining each individual house, we found that the average NAC for Astoria is \$32,650 but there is also a 90% chance that the cost falls between \$27,000 and \$38,000 (see Figure 1). While Astoria has the lowest annual cost, Charlotte Street presents a great alternative with many great upsides as average NAC would be \$41,500, and we can see that there is a 90% chance that Charlotte’s average annual cost would fall between \$30,000 and \$53,000. The third and final opportunity of Barnard Street represents the most expensive option of the three. While the average NAC is just under \$49,850, we can see that there is a 90% chance that your annual cost for Barnard Street would fall between \$37,000 and \$63,000. When comparing the average NAC across the 3 properties, Astoria Street comfortably offers the lowest expected cost, while Charlotte Street offers a higher cost but could be within reason if the location and upside are considered.

Barnard offers the most expensive alternative, but is also in a nicer area with a good school system. With all of this in mind, we will begin by identifying which variables impact overall annual cost for each alternative.

Figure 1: Distribution of Expected NAC for Each House



Identifying Impactful Variables

There are a number of different variables that affect the Net Annual Cost of each house. Figures A2, A3 and A4 in the Appendix provide detailed visual representations of different variables' effects on the cost of each housing option. These variables and notes for consideration are as follows:

Variable	Lower Limit	Base Case	Upper Limit	High-Level Description
Down Payment	\$30,000	\$45,000	\$70,000	We estimate that you are able to make a downpayment of \$45,000 but that it could potentially be as low as \$30,000 or as high as \$70,000. We expect that the Charlotte Street apartment may need to be renovated, so we have estimated a \$30,000 renovation cost that will be deducted from the down payment for Charlotte Street only.
Interest Rate	4.0%	5.5%	8.0%	We estimate that the interest rate for your mortgage will likely be 5.5%, but it could potentially be as low as 4.0% or as high as 8.0%. Note that while we think the interest rate will be 5.5%, we are expecting an additional interest rate premium of 1.5% for both Barnard and Charlotte Street, as they are both in sought-after neighborhoods and cost more money than Astoria Street.
Tax Rate	25.0%	33.0%	45.0%	We estimate that the tax rate will be 33.0%, and could potentially be as low as 25.0% or as high as 45.0%. This tax is applied to any rental income obtained from either Barnard or Charlotte Street, since Astoria will have no rental income.

Variable	Lower Limit	Base Case	Upper Limit	High-Level Description
Property Tax	1.0%	1.0%	2.0%	We estimate that property tax will be consistent across all three properties, and expect that rate to be 1.0%, and to go no lower, while it could go as high as 2.0%.
Monthly Rent	\$1,500	\$2,000	\$2,900	While this does not affect Astoria Street as there is no rental property associated with it, we are expecting the monthly rental income to be \$2,000, that could go as low as \$1,500 per month, and as high as \$2,900 per month. Due to Barnard and Charlotte Street having different rental options, we are expecting there to be a premium on the rent for Barnard Street. We expect this premium to be \$500, and we recognize it by deducting the premium of \$300 from the monthly rent of Barnard Street to give us the expected rent of Charlotte Street.
Months Occupied	0	10	12	We estimate being able to rent Barnard or Charlotte street for 10 months per year. However, we could have renters occupy the property for as high as 12 months or as low as zero (0) months.
Home Insurance	\$800	\$1,080	\$1,600	We expect the annual cost of insurance to be \$1,080 for Astoria Street, with the cheapest likely being \$800 and the most expensive being \$1,600. Given the more expensive cost of Barnard and Charlotte Street, we are assuming that the cost of home insurance will move in tandem with the cost of the house. Therefore, we are assuming that since Barnard and Charlotte Street are 67% and 33% more expensive than Astoria, respectively, their costs will move in tandem (costs of \$1,800 and \$1,440).
Repair & Upkeep	\$1,000	\$2,400	\$10,000	Finally, we expect the repair & upkeep for each house to be \$2,400, with the cheapest years costing as little as \$1,000 and the most expensive at \$10,000. As with rental cost, we are assuming that the bigger houses will cost more to maintain over time. Given this, we are assuming that there will be an additional upkeep cost of \$800 for Barnard Street, and \$1,600 for Charlotte Street due to it needing a bit more work than the more polished Barnard Street.

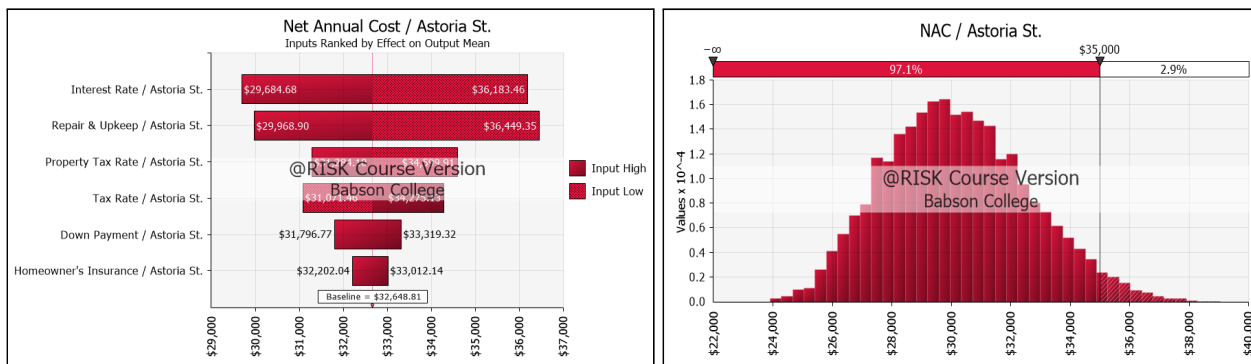
Examining Net Annual Cost (NAC)

Astoria Street:

While we knew from the beginning that Astoria Street was the least expensive of the three houses and would have the lowest annual cost, this is also the house with the least variability in its Net Annual Cost. As shown in Figure 2 below (see also Figure A2), we can see that the two factors that will most impact the NAC for Astoria Street come from any changes to the interest rate and any changes in repair & upkeep on an annual basis. We can see that the highest interest rate can drive the Net Annual Cost over \$36,000, whereas the lower end could cut the net annual cost to almost \$29,500. The same goes for repair & upkeep, where the higher costs will drive annual cost to almost \$36,500 and the lower costs could cut NAC to just under \$30,000.

We can also see in Figure 2 that from all of our simulations that we ran on the range of variables and premiums, Astoria Street will have a Net Annual Cost of \$35,000 or less 97.1% of the time. As this was our assumption for the high end cost that you would like to spend on a house, this gives us a high degree of confidence in your ability to comfortably afford this home. Not only does Astoria represent the lowest cost option, it is also likely to remain low-cost while not having large unforeseen expenses affect the annual cost in a given year.

Figure 2: Variables Impacting and Distribution of NAC for Astoria Street



Charlotte Street:

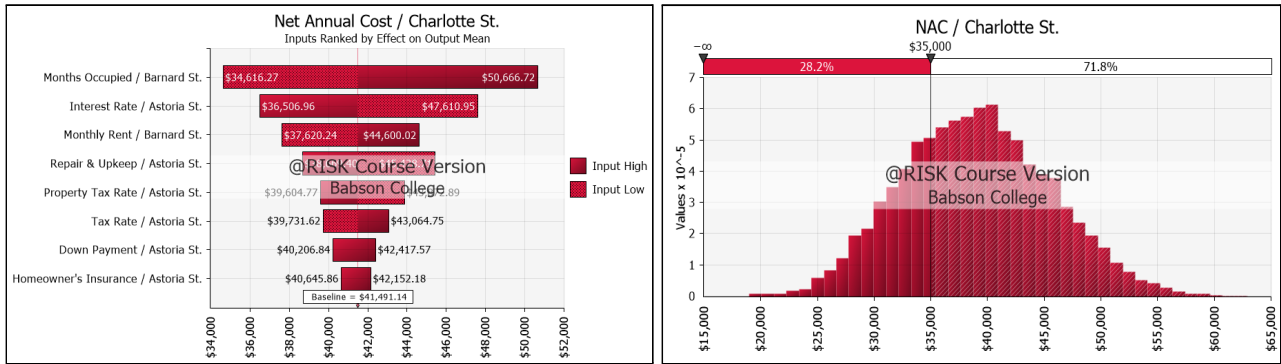
Charlotte Street remains our middle-of-the-road option as far as average cost amongst the three houses. While Charlotte Street falls between Astoria and Barnard Street as far as average Net Annual Cost, it is also between Astoria and Barnard Street with regards to the variability of the NAC. The other main difference between Charlotte Street and Astoria Street is the potential addition of rental income on a monthly basis. As we can see in Figure 3 below, the main factors that drive the most variability in the annual cost are the number of months that the house is rented, the interest rate paid on the mortgage, the monthly rent that is charged, and any repair and upkeep necessary on an annual basis.

The number of months occupied is an important factor to consider. Having the unit not rented can cause the Net Annual Cost to skyrocket to over \$50,000 while having it rented throughout the year could cut the NAC to almost \$34,500, a huge difference of \$15,500 per year. The next most important

factor is the interest rate on the mortgage, and as mentioned before, we are assuming a monthly premium on Charlotte Street compared to Astoria Street. The difference between high and low interest rates will see the NAC between \$47,500 and \$36,500. Finally, the monthly rent can cause a NAC to range from \$44,600 down to \$37,600, and repair & upkeep can cause a \$7,000 swing from \$38,500 to \$45,500.

All of these create a wide range of factors that can affect the Net Annual Cost of Charlotte Street, and relative to Astoria Street, it is not only more expensive on average, but it also has a wider range of factors that can affect the price (see Figure A3). For Charlotte Street, due to the increase in the sale price of the home as well as the variability from the rental portion of the house, we see a much lower likelihood of keeping the annual cost under \$35,000. From all of our simulations, only 28% of the time the NAC of Charlotte Street came out at \$35,000 or less. This is a substantial drop from the 97% that we had with Astoria, and leads to an interesting question around how much risk you might be willing to take on to buy this house.

Figure 3: Variables Impacting and Distribution of NAC for Charlotte Street



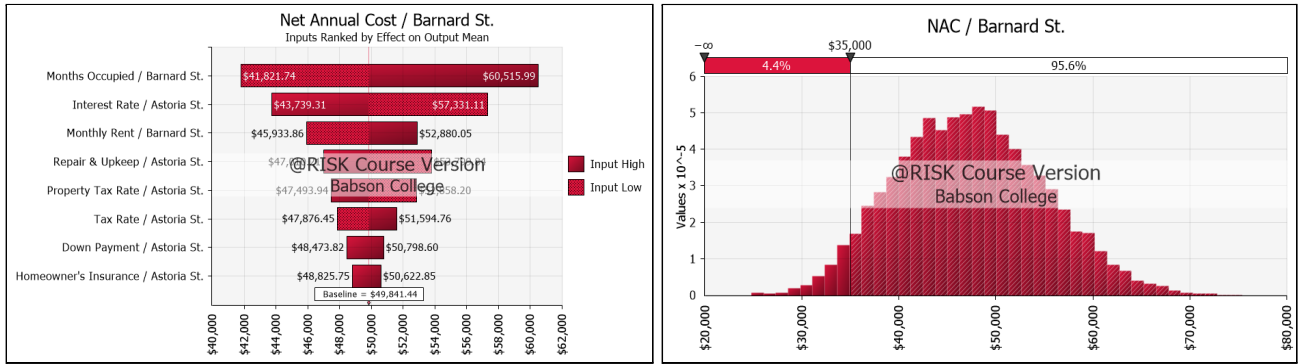
Barnard Street:

As Astoria Street presents the lowest Net Annual Cost and the least variability of the three houses, Charlotte Street lies slightly higher in terms of NAC and variability. We can see in Figure 4 below that Barnard street is not only the most expensive option, but also has the most variability of the three houses. Similar to Charlotte Street, we see that the number months the unit is rented per year, the interest rate, the monthly rent price, and repair and upkeep are the four main drivers of variability at Barnard Street for Net Annual Cost (see also Figure A4).

Just as Charlotte Street has a wide range of costs impacted by the number of months that it is rented, so too does Barnard Street, with a range of over \$18,000 from as high as over \$60,000 per year to as low as \$42,000 depending on the number of months that it is rented. Meanwhile, the interest rate can cause fluctuation of more than \$13,000 from just under \$44,000 to just over \$57,000 on an annual basis. While these are the two largest variables, we still see a range of NAC for the monthly rent price and repair and upkeep costs of approximately \$7,000 each, with the rental price impacting NAC from as low as \$46,000 to as high as \$53,000, and the repair & upkeep costs ranging from as low as \$47,500 to as high as \$53,500.

From our simulations, we found that we found that only 4.4% of simulations resulted in a Net Annual Cost of \$35,000 or less for Barnard Street. While this was not surprising due to the high average NAC, as well as its high sale price, it still makes for a tough understanding of the overall annual cost expected for this property. Unfortunately, the wide range of variables with this house, along with the fact that it is more expensive to begin with creates a scenario where it is more likely than not that you would need to spend more money than initially hoped.

Figure 4: Variables Impacting and Distribution of NAC for Barnard Street



Main Variables that Affect Net Annual Cost

Some variables are far more impactful than others in affecting the Net Annual Cost of the house. Given that each house has their own unique factors, we will summarize those variables below in order to help you best understand what factors will be most important to keep in mind when making your decision.

Comparing Interest Rates

We also wanted to better understand the effect of interest rates on NAC for all three home options. As mentioned, interest rates highly impact each of our three home options. We know that it is likely Astoria Street's interest rate would fall around 5.5%, costing you around \$31,000 to \$33,000 annually (see table below). On the other hand, due to the larger loan amounts and relatively smaller down payments, the bank may charge a higher interest rate of 7.0% for Charlotte Street and Barnard Street, bringing the average NAC to \$45,000 and \$53,000 respectively. Astoria presents the most cost effective option if you were fortunate enough to get an interest rate as low as 4% and even up to around 6%. However, if you were able to get a significantly lower interest rate on a rental property like Charlotte for example, it may be worth considering investing in a rental property in a neighborhood with a good school system. For additional simulation data, see Figure A5.

Interest Rates - Average Net Annual Cost (NAC)			
Interest Rate (%)	Astoria Street	Charlotte Street	Barnard Street
4%	\$28,630	\$40,710	\$46,020
5%	\$30,760	\$42,170	\$48,320
6%	\$32,990	\$43,790	\$50,810
7%	\$35,330	\$45,540	\$53,460
8%	\$37,750	\$47,410	\$56,250

Comparing Monthly Rental Rates

Now that we have looked at the variables affecting all three properties, let's take a look at how our two rental property options compare (Charlotte Street and Barnard Street) when taking into account monthly rental rates. In the table below, we see that keeping rent rates high is of great value to homeowners and lends itself to lowering NACs for both properties. If rent premiums remain higher, Charlotte costs are not that far off from those of Astoria Street whereas those for Barnard still remain quite high and far from our annual limit of \$35,000. For additional simulation data, see Figure A6.

Rent Premiums - Average Net Annual Cost (NAC)			
Rent Rates	Astoria Street	Charlotte Street	Barnard Street
\$1,500	N/A	\$47,590	\$54,470
\$1,800	N/A	\$45,390	\$52,270
\$2,100	N/A	\$43,190	\$50,070
\$2,400	N/A	\$40,990	\$47,870
\$2,700	N/A	\$38,790	\$45,670

Comparing Months Occupied

To better understand how rental occupancy time on an annual basis affects net annual cost for Charlotte Street and Barnard Street compared with Astoria Street (a non-rental property), we analyzed how monthly rental occupancy may affect NAC. As mentioned, Astoria Street's net annual cost is highly likely to fall around an average of \$32,000 with a low degree of variability. If you were to purchase Charlotte Street, you would need to rent your property for at least 12 months for the average costs to be comparable to Astoria Street's (is it approximately \$2,000 more annually). On the other hand, if you were to rent Barnard Street for 12 months, the costs would be around \$4,000 higher than your annual cost limit of around \$35,000. Even though there is potential for the costs to be comparable between these two properties, it is important to remember that there are more variables at play affecting Charlotte Street and Barnard Street's overall NACs. For additional simulation data, see Figure A7.

Months Occupied - Average Net Annual Cost (NAC)			
Months Occupied	Astoria Street	Charlotte Street	Barnard Street
8	N/A	\$40,260	\$48,410
9	N/A	\$39,320	\$46,270
10	N/A	\$38,590	\$44,140
11	N/A	\$38,050	\$42,010
12	N/A	\$37,720	\$39,870

Comparing Repair & Upkeep

Repair & Upkeep cost is highly unpredictable, influenced by the age of a given house and its historical maintenance. In the table below, we see that all houses will have equal overhead from the repair cost. It will be in your best interest to keep this cost as low as possible in initial years. A regularly high

annual repair cost will make all the houses expensive and unaffordable. We see a direct correlation between the cost of repair and the NAC for all three homes. For additional simulation data, see Figure A8.

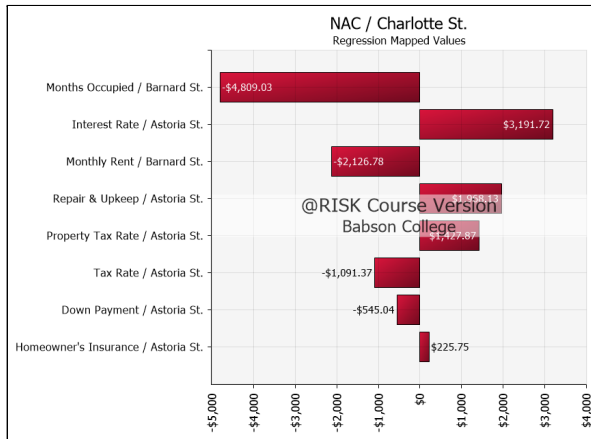
Repair & Upkeep - Average Net Annual Cost (NAC)			
Repair Cost	Astoria Street	Charlotte Street	Barnard Street
\$2,000	\$30,180	\$39,000	\$47,350
\$4,000	\$32,180	\$41,740	\$49,350
\$6,000	\$34,180	\$44,470	\$51,350
\$8,000	\$36,180	\$47,200	\$53,350
\$10,000	\$38,180	\$49,940	\$55,350

Now that we have assessed all three houses with respective important variables, we can see that perhaps taking a risk in investing in a rental property like Charlotte Street that is closer to your price limit may be worthwhile. This is one of the first houses that you will be purchasing early on in your life and it may be a great option for a starter home.

Exploring your Investment Option: Sensitivity Analyses for Charlotte Street

To explore Charlotte Street further, we will outline the subsequent analyses, focusing on the most impactful variables: months occupied, interest rate, monthly rent premiums and repair & upkeep (see Figure 5). What is important for this investment option is, ensuring that it remains affordable and financially viable for you and your family. The analysis below will highlight factors that can be controlled to keep your NAC as low as possible.

Figure 5: Impact of Input Variables on NAC for Charlotte Street



Months Occupied

What is key for this particular property is the opportunity to rent (see Figure A9). If you don't want to take on the responsibilities of managing a rental property or to take advantage of rental income, this option may not be one to consider further. For every (1) month occupied, the cost of the home decreases by around \$1,830. If you are unable to have occupants rent the Charlotte Street property, your NAC may reach \$51,000. With that in mind, it is critical that you have occupants renting for at least 9-12 months.

Interest Rate

For every 1% increase in interest rate, the cost of the house increases by around \$2,600. With 4% interest rate, we are looking at the home costing you approximately \$36,500 annually (see Figure A10), which brings the cost down to one that is comparable to Astoria and closer to our comfortable budget limit. If you are able to get Charlotte at a lower interest rate, the cost is not only lower but the investment opportunity that Charlotte offers in comparison becomes more attractive.

Monthly Rent Rates

If we look at rent rates (see Figure A11), we can see that it will be important to keep rental rates reasonably high for the incurred cost to be worth the investment. For every \$500 increase in monthly rent that you would charge, the cost of this rental property decreases by \$3,660. Again, this will require researching what rental rates are akin to other rentals in the area to ensure that maintaining rental rates at this charge is viable in the neighborhood.

Repair and Upkeep

Lastly, we assessed repair and upkeep costs. While it is a given that as maintenance costs increase, any home's net annual cost will increase, it is important to note the degree to which this is likely for the Charlotte Street property. With this particular home, the NAC would increase by \$1,000 for every \$1,000 increase in repair costs (see Figure A12). Ideally, you would need to keep these costs as low as possible but this is a difficult factor to fully control.

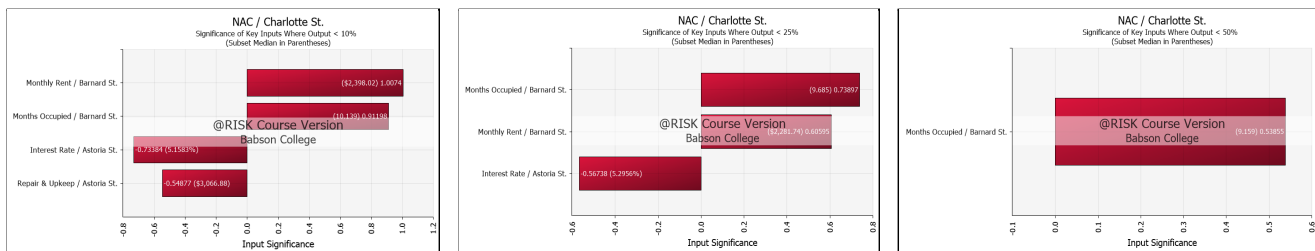
Low Annual Cost/Scenario Analysis

We know that the Charlotte Street house has an average annual cost of \$41,500. We also acknowledge that this price falls over your agreed budget limit. However, if certain factors are managed, the house may still prove to be affordable and would be able to compete with our least costly option, Astoria Street.

If we refer to Figure 6 and try to keep below variables in check (monthly rent, rent occupied, interest rate, and repair & upkeep costs), Charlotte Street's annual cost may still work out to be below \$40,000. For example, if you can charge for your monthly rental around \$2,400 or higher with a 10 month or higher occupancy rate, can find a mortgage rate at 5.1% or lower *and* manage to have a regular repair cost of \$3,000 or lower, you will have an NAC of less than \$32,700 for Charlotte Street house.

Variables	NAC < 10% (\$32,700)	NAC < 25% (\$36,800)	NAC < 50% (\$41,500)
Monthly Rent Minimum	\$2,400	\$2,300	N/A
Months Occupied Minimum	10 months	10 months	9 months
Interest Rate Maximum	5.1%	5.3%	N/A
Repair & Upkeep Maximum	\$3,000	N/A	N/A

Figure 6: Variable Scenario Analysis to keep NAC at bottom 10%, 25% and 50%



Conclusion and Recommendations

After identifying and exploring impactful variables and their effect on annual cost for our three alternatives, Astoria continues to be the safest and least costly option. Even when factoring in high repair & upkeep costs or a very high interest rate, Astoria is unlikely to surpass a yearly cost limit of \$35,000. If we take a step away from the least risky option, and take a look at our other two options, there is a viable opportunity to invest in a rental property. Between the two rental properties, the net annual costs generally tend to be lower for Charlotte Street when compared to Barnard Street. When we take into account and compare a range of outcomes for interest rate, monthly rental occupancy, and rent rates, we can see that Barnard Street continues to be the most costly option overall. In analyzing Barnard in various ways, annual cost outcomes frequently fall above your comfortable \$35,000 limit (often falling above \$40,000). Charlotte Street, however, is unique in that while several analyses demonstrate that it is a slightly riskier option when compared to Astoria Street, there is an opportunity to keep overall costs closer to \$35,000 annually. Charlotte Street could provide the potential to rent in an area with good schools and be a suitable, albeit riskier, alternative.

It is also important to note that, while not considered within the scope of this report, there are other important factors that may become increasingly relevant to either or both of you in the future. For example, costs such as graduate school, additional expenses for child care, as well as the fact that if there is repair and upkeep that is put off for long enough, it can create even greater costs down the road. There is also the possibility of having interest in reselling your home in the future, potential risks associated with relying on stable real estate market growth, and the uncertainty of changing employment status or annual salary. Of course, these are all unknown factors that are hard to model for, and if all goes well, we would have no need to model for such extreme scenarios, but they are worth taking into consideration when making your decision.

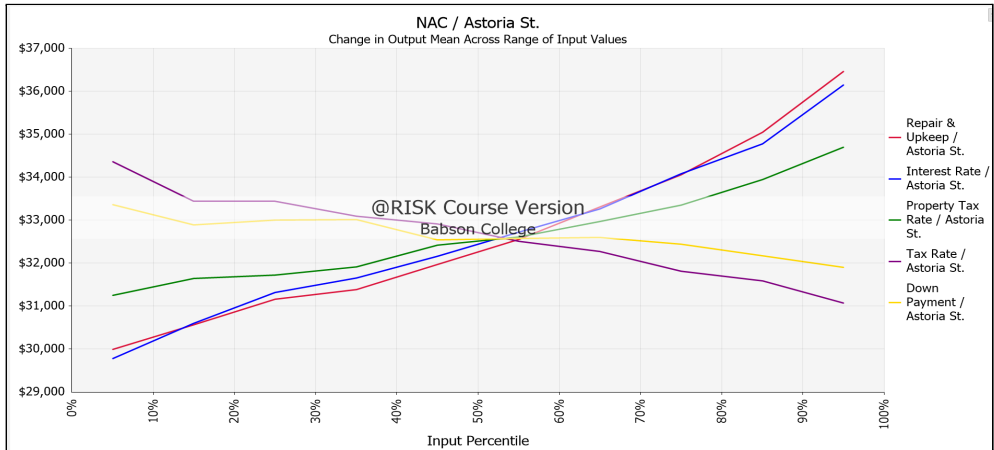
Sanjay and Sarah, based on the risk you are willing to take, Astoria is the least risky option for your family. If you are go-getters, willing to place a riskier bet with your purchase and are thinking of making a more ambitious investment, we would recommend considering Charlotte Street as your new starter home.

Appendix:

Figure A1: Comparing Each Housing Option (Means for NAC)

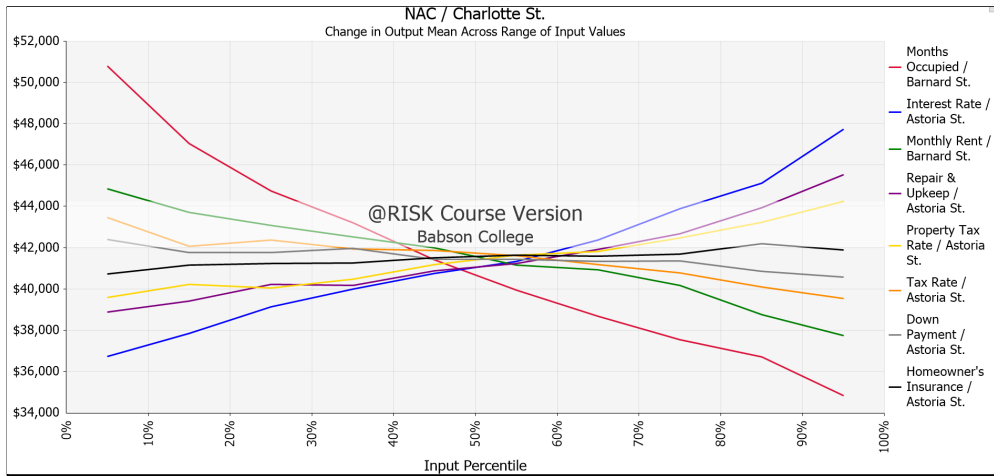
Name	Cell	Function	Graph	Minimum	Maximum	Mean	Mode	Median	Std. Deviation	1%	99%	Errors
House Hunting (1).xlsx												
Net Annual Cost / Astoria St.	B23	RiskOutput()		\$24,355.01	\$44,054.40	\$32,648.81	\$31,647.69	\$32,499.24	\$3,115.72	\$26,366.14	\$40,390.36	0
Net Annual Cost / Barnard St.	C23	RiskOutput()		\$23,193.19	\$77,260.01	\$49,841.44	\$50,348.39	\$49,593.15	\$7,814.80	\$33,100.78	\$68,074.44	0
Net Annual Cost / Charlotte St.	D23	RiskOutput()		\$17,742.48	\$65,165.97	\$41,491.14	\$41,616.74	\$41,376.30	\$6,791.28	\$26,753.45	\$57,176.46	0

Figure A2: Impact of all variables on Astoria Street house



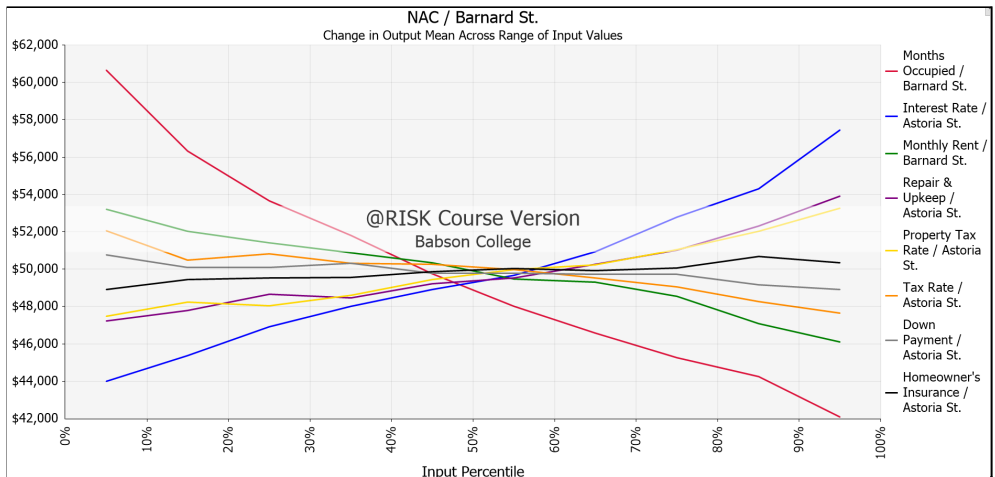
Note: In the above graph, the slope of the horizontal lines correspond to the degree to which a particular variable impacts the property's NAC.

Figure A3: Impact of all variables on Charlotte Street house



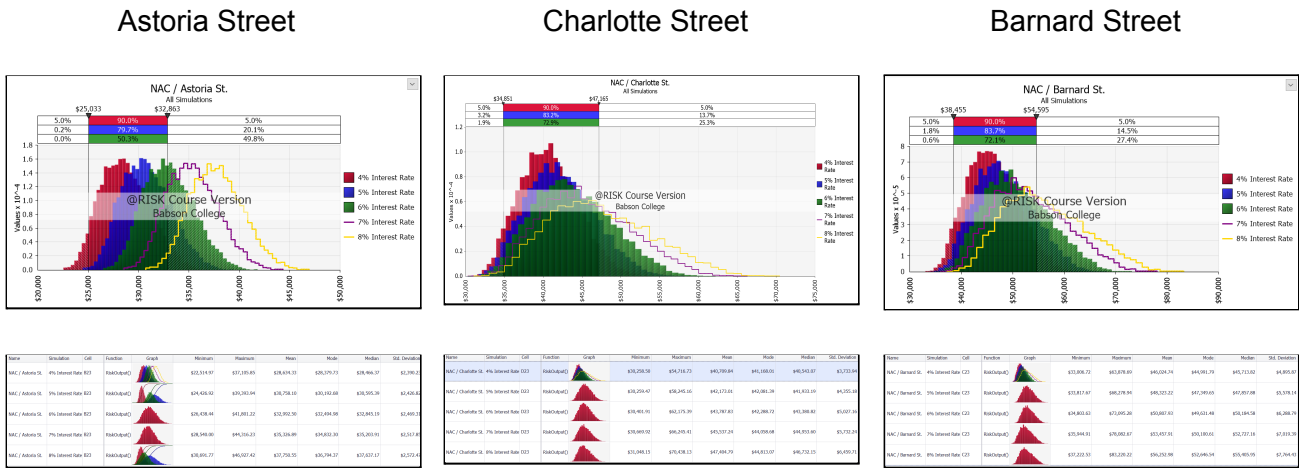
Note: In the above graph, the slope of the horizontal lines correspond to the degree to which a particular variable impacts the property's NAC.

Figure A4: Impact of all variables on Barnard Street house

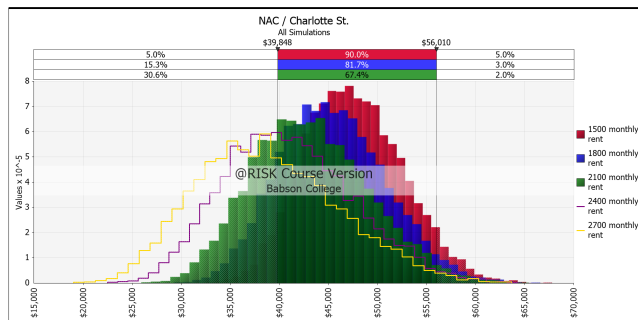


Note: In the above graph, the slope of the horizontal lines correspond to the degree to which a particular variable impacts the property's NAC.

Figure A5: RiskSimTable for Interest Rate Outcomes

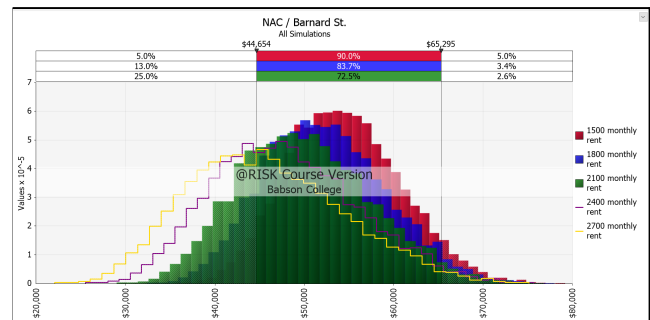


Charlotte Street



Name	Simulation	Cell	Action	Graph	Minimum	Maximum	Mean	Mode	Median	Std. Deviation
NAC / Charlotte 9	1500 monthly rent	D23	RiskOutput		\$3,586.57	\$67,804.11	\$47,567.41	\$47,086.47	\$47,316.06	\$4,953.22
NAC / Charlotte 9	1800 monthly rent	D23	RiskOutput		\$29,248.05	\$66,013.48	\$45,387.41	\$46,221.63	\$45,120.25	\$5,407.71
NAC / Charlotte 9	2100 monthly rent	D23	RiskOutput		\$25,009.53	\$65,422.84	\$43,187.40	\$44,230.43	\$42,851.50	\$5,012.38
NAC / Charlotte 9	2400 monthly rent	D23	RiskOutput		\$22,476.29	\$64,232.21	\$40,987.40	\$41,508.03	\$40,984.24	\$6,510.01
NAC / Charlotte 9	2700 monthly rent	D23	RiskOutput		\$10,013.33	\$63,675.83	\$38,787.40	\$38,722.64	\$38,313.38	\$7,126.11

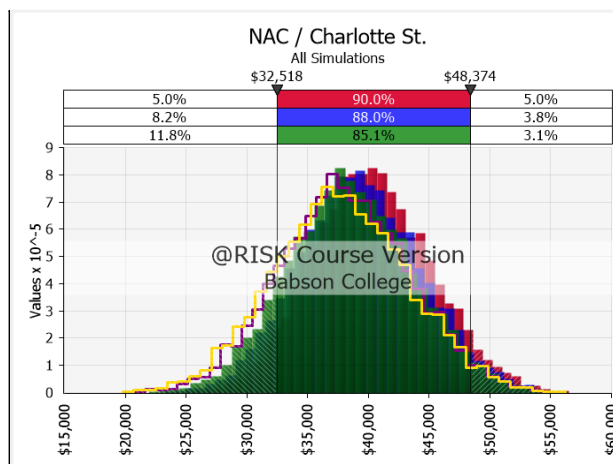
Barnard Street



Name	Simulation	Cell	Action	Graph	Minimum	Maximum	Mean	Mode	Median	Std. Deviation
NAC / Bernat St.	1500 monthly rent	C23	RiskOutput()		\$75,849.22	\$70,174.38	\$54,470.77	\$56,409.87	\$54,170.74	\$6,301.55
NAC / Bernat St.	3000 monthly rent	C23	RiskOutput()		\$32,440.18	\$27,983.64	\$25,270.77	\$24,168.22	\$51,949.73	\$8,381.57
NAC / Bernat St.	2100 monthly rent	C23	RiskOutput()		\$28,977.22	\$27,793.61	\$25,070.77	\$50,711.52	\$49,620.63	\$7,381.57
NAC / Bernat St.	2400 monthly rent	C23	RiskOutput()		\$25,514.27	\$27,602.38	\$47,870.77	\$48,905.18	\$47,340.87	\$7,983.53
NAC / Bernat St.	2700 monthly rent	C23	RiskOutput()		\$22,051.31	\$27,129.25	\$45,670.77	\$42,851.33	\$45,047.18	\$8,615.45

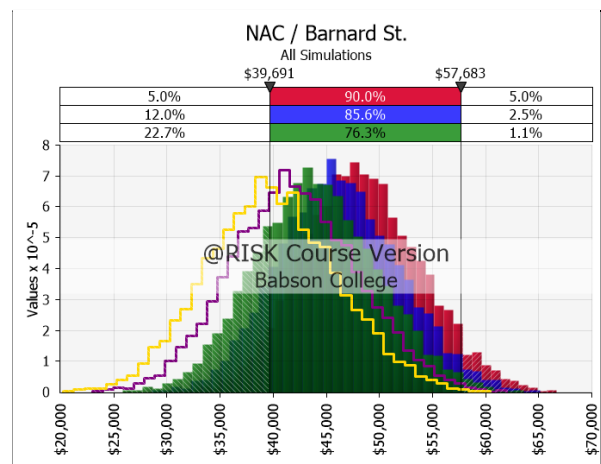
Figure A7: RiskSimTable for Months Occupied

Charlotte Street



Name	Simulation	Cell	Function	Graph	Minimum	Maximum	Mean	Mode	Median	Std. Deviation
NAC / Charlotte St., 6 months	D23		RiskOutput()		\$29,917.43	\$76,534.97	\$40,254.69	\$76,448.47	\$40,112.08	\$4,818.38
NAC / Charlotte St., 9 months	D23		RiskOutput()		\$22,333.64	\$56,108.51	\$39,721.31	\$79,237.38	\$39,183.53	\$4,985.88
NAC / Charlotte St., 10 months	D23		RiskOutput()		\$21,949.84	\$75,942.61	\$38,588.03	\$76,632.85	\$38,055.46	\$5,145.45
NAC / Charlotte St., 11 months	D23		RiskOutput()		\$20,766.04	\$76,054.69	\$37,721.36	\$77,363.84	\$37,942.19	\$5,316.30
NAC / Charlotte St., 12 months	D23		RiskOutput()		\$19,782.24	\$56,288.72	\$37,721.36	\$77,292.08	\$37,616.98	\$5,496.66

Barnard Street



Name	Simulation	Cell	Function	Graph	Minimum	Maximum	Mean	Mode	Median	Std. Deviation
NAC / Barnard St.	8 months	C23	RiskOutputQ		\$13,376.83	\$66,675.23	\$48,404.67	\$46,606.96	\$48,204.47	\$5,488.57
NAC / Barnard St.	9 months	C23	RiskOutputQ		\$26,592.23	\$65,117.34	\$46,273.34	\$44,448.55	\$46,069.09	\$5,615.58
NAC / Barnard St.	10 months	C23	RiskOutputQ		\$27,808.43	\$63,559.44	\$44,138.06	\$43,053.60	\$43,973.12	\$5,762.51
NAC / Barnard St.	11 months	C23	RiskOutputQ		\$27,024.63	\$62,001.25	\$42,004.67	\$42,206.44	\$41,852.10	\$5,910.28
NAC / Barnard St.	12 months	C23	RiskOutputQ		\$26,240.83	\$60,443.65	\$39,871.34	\$37,218.76	\$37,722.30	\$6,078.83

Figure A8: Risk Sim Table for Repair Cost

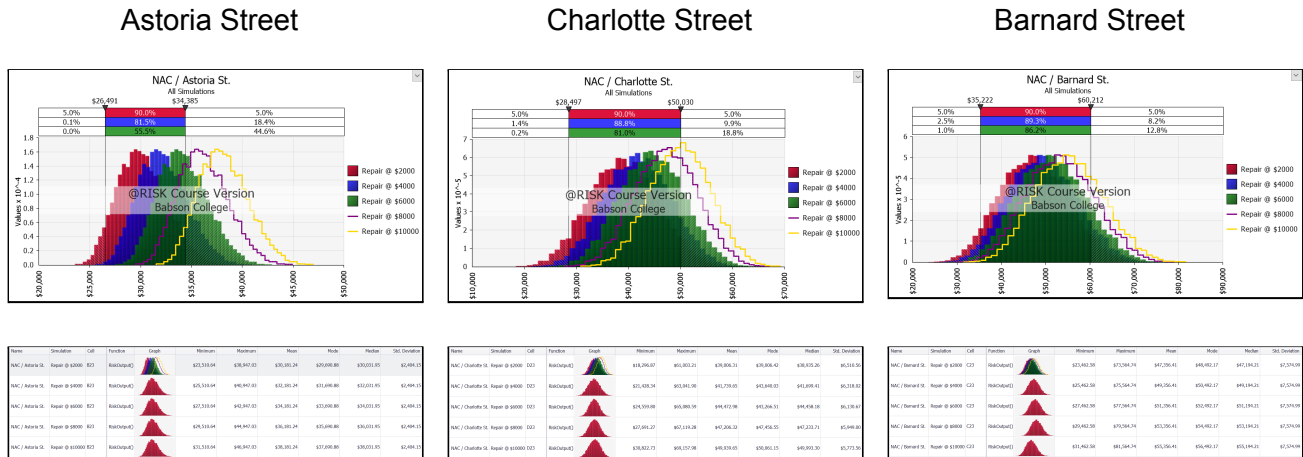


Figure A9: Input Variable for Charlotte Street Sensitivity Analysis - Months Occupied

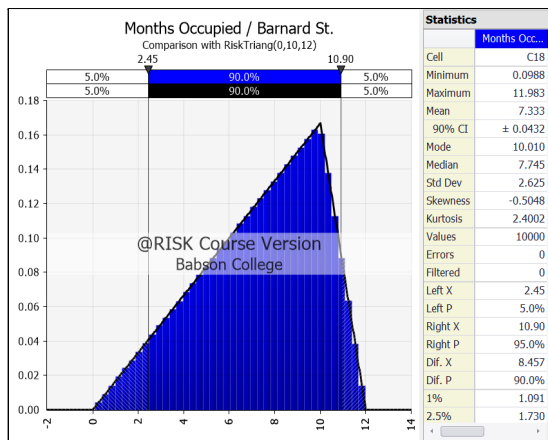


Figure A10: Input Variable for Charlotte Street Sensitivity Analysis - Interest Rate

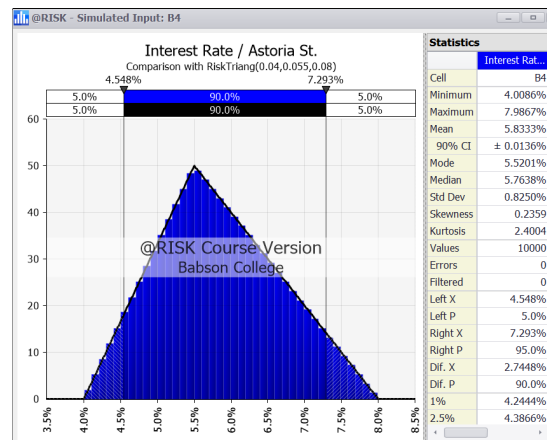


Figure A11: Input Variable for Charlotte Street Sensitivity Analysis - Monthly Rent

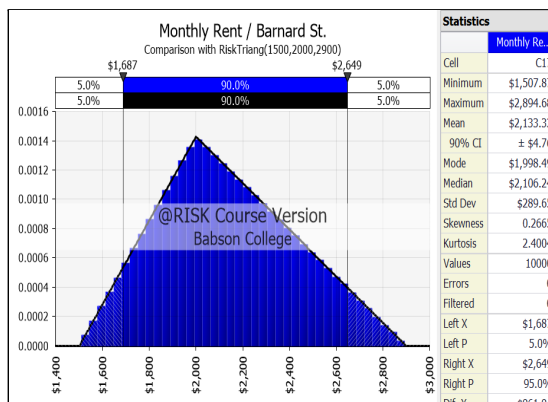


Figure A12: Input Variable for Charlotte Street Sensitivity Analysis - Repair & Upkeep

